

Unwinding of large drag from net exports to support solid growth in Q2

- **Key changes:** Although Portugal's inflation slightly undershot our expectations in May, our increased H2 projection for oil prices has prompted a further upgrade to our near-term inflation outlook. We now forecast headline inflation will average 3.3% in 2026 and peak at 3.6% in Q3. We've also raised our 2027 inflation forecast by 0.2ppts to 2.3%. These changes aren't large enough to affect our view on GDP growth, but they do underscore the downside risks facing the Portuguese economy.
- **Short-term forecast:** Despite a soft start to the year, we expect solid GDP growth of 2% in 2026 and 2.1% in 2027. Notwithstanding the hit to disposable incomes from higher inflation, the consumer spending outlook remains supported by a solid labour market and the large pool of savings. Meanwhile, the implementation of funding from the EU's recovery and resilience facility (RRF) underpins the investment outlook.
- **What to watch out for:** The inflation outlook remains cloudy and linked to developments in the Middle East. The duration of the disruption to shipping traffic in the Strait of Hormuz and how quickly energy production will recover remain the critical uncertainties. Moreover, we estimate that if the US or Iran's stance leads to a more prolonged closure of the Strait, oil stocks could reach a critical threshold by mid-September, triggering a price spike towards \$150 per barrel. Domestically, a slower-than-expected implementation of the RRF funding is an important downside risk.

Table 1: Portugal forecast overview

(ANNUAL PERCENTAGE CHANGES UNLESS SPECIFIED)						
	2023	2024	2025	2026	2027	2028
GDP	3.1	2.2	1.9	2.0	2.1	1.7
Private consumption	2.4	3.0	3.5	2.0	1.7	1.6
Industrial production	-3.2	0.7	0.6	0.3	2.2	3.1
Employment	2.1	1.4	3.2	1.3	0.1	-0.3
Unemployment rate (%)	6.6	6.5	6.0	5.7	5.8	5.8
Government balance (% of GDP)	1.1	0.6	0.7	-0.5	-0.8	-0.9
Gross government debt (% of GDP)	96.9	93.5	89.7	86.2	83.6	81.6
Current a/c balance (% of GDP)	0.6	2.2	1.2	0.1	0.8	1.1
Consumer prices	4.3	2.4	2.3	3.3	2.3	1.8
Bank's deposit rate (% EOP)	4.00	3.00	2.00	2.50	2.00	2.00
10yr govt. bond yield (% EOP)	2.80	2.85	3.16	3.40	3.42	3.43
Exchange rate (US\$ per euro, EOP)	1.11	1.04	1.18	1.17	1.18	1.18

Source: Oxford Economics

Baseline forecast

Recent developments

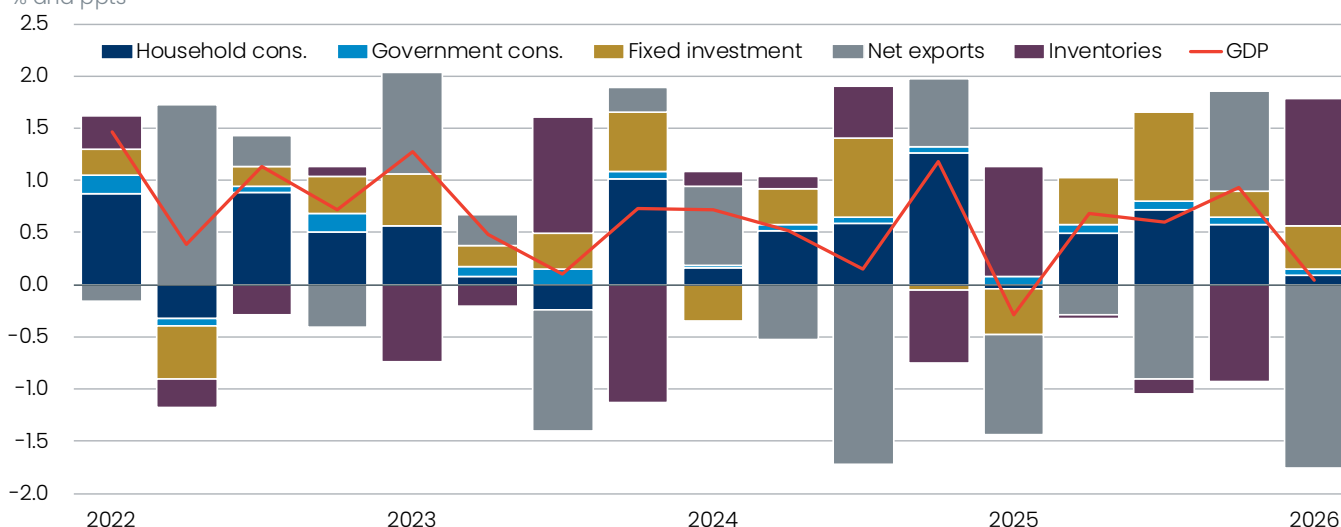
Portugal's GDP stagnated in Q1, slightly disappointing our expectations for a sharp slowdown to very low growth ([Chart 1](#)). The expenditure breakdown confirmed that consumer spending barely rose, in line with our expectations. This is largely a payback after the temporary boost to H2 2025 spending from some income tax cuts and an extra payment to pensioners. Bad weather in February likely reinforced the slowdown in spending. But net exports were the main drag on Q1 GDP, driven by a 2.7% q/q jump in imports. Although imports have been growing at a faster pace than exports in recent quarters, the gap was particularly large in Q1, and some reversal looks likely in this quarter's data, supporting Q2 GDP growth.

A slight upward revision left employment growth modestly positive in Q1, keeping the unemployment rate steady at 5.7%, a 24-year low. Meanwhile, the economic sentiment indicator posted a partial rebound in May to levels broadly in line with its historical average, although consumer sentiment remains weak. However, retail sales volumes showed some resilience in April, confirming Portuguese consumers have some fuel in the tank despite ongoing pessimism about general economic conditions and price trends.

Chart 1: Net exports were the main drag on Q1 GDP, but this is unlikely to last

Portugal: Contributions to quarterly GDP growth

% and ppts



Source: Oxford Economics, Haver Analytics

Short-term forecast

We've kept our GDP growth forecasts for Portugal at 2% in 2026 and 2.1% in 2027. GDP stagnated in Q1, attributable to some payback in consumer spending and an exceptionally large drag from net exports. As we expect neither of these factors to last, we think GDP will resume growing this quarter. Moreover, we continue to see the outlook for the Portuguese economy as generally solid, building on the strong performance of recent years. Higher inflation will dent disposable incomes, but the consumer spending outlook remains supported. Meanwhile, a pickup in the execution of the EU's RRF funding underpins the investment outlook.

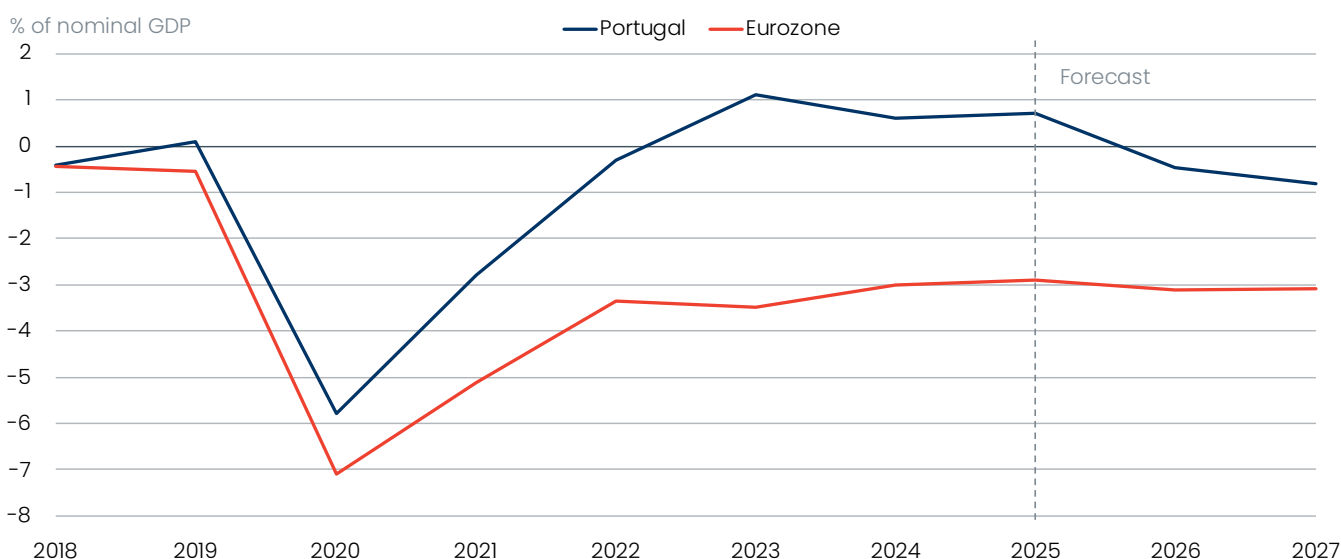
Although the recurrent upside surprises of recent years remind us that stronger-than-anticipated growth is possible, it's clear that the balance of risks tilts to the downside, in line with the global economy. Domestically, slower-than-expected implementation of the RRF funding is an important downside risk.

Policy assumptions

Fiscal policy. Portugal's fiscal policy has been tight in recent years, with 2025 showing a third consecutive surplus. A large emergency package after the February storms and the response to higher energy prices mean fiscal policy will be visibly loosened in 2026. We forecast a deficit of 0.5% of GDP, a more-than-1ppt deterioration after the surplus of 0.7% in 2025 (**Chart 2**). Announced measures suggest an even wider deficit in 2026, but we assume there'll be some offsetting elsewhere as solid fiscal performance remains a key government priority. However, we don't anticipate a return to fiscal surpluses thereafter amid significant spending pressures from public investment and current spending.

Chart 2: We expect Portugal to loosen its fiscal policy following recent surpluses

Portugal and Eurozone: general government balance



Sources: Oxford Economics, Haver Analytics

Monetary policy. We project two 25bps rate hikes by the European Central Bank this year to keep inflation expectations anchored amid the rise in energy prices. This reflects a new era of more frequent global supply shocks that require a more robust policy response. However, the ECB's communication has remained hawkish since the inflation surge in 2022, so we don't think it'll be able to look through this energy shock, even if it deems it temporary. But we expect the bank to cut rates again relatively quickly in mid-2027, bringing the deposit rate back to 2% as energy prices normalise.

Key drivers of short-term forecast

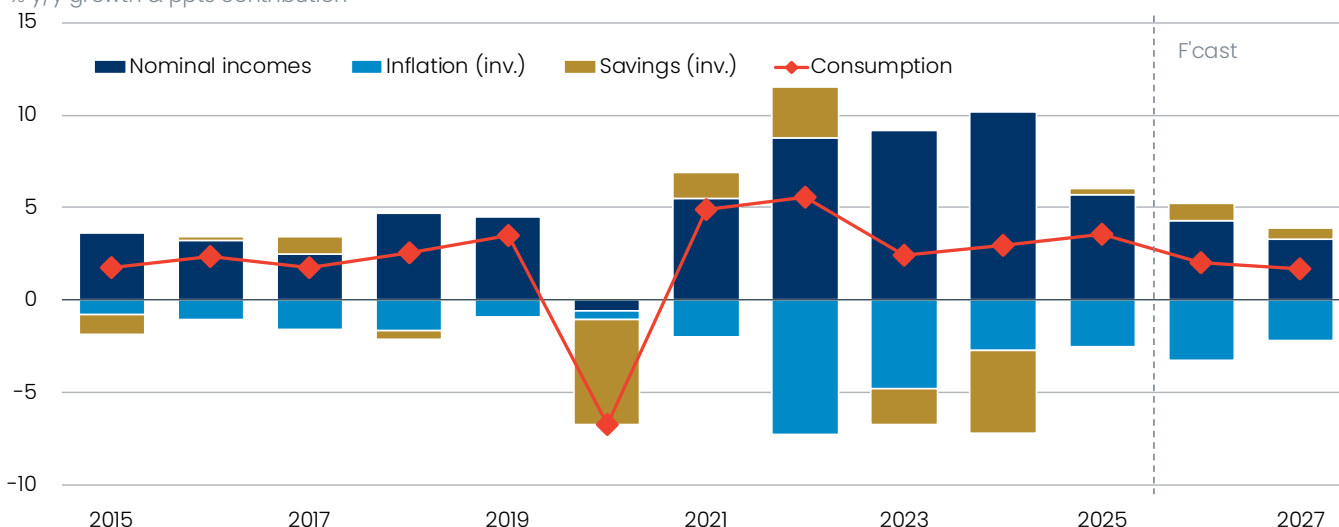
Solid consumption outlook, despite a setback from higher inflation. Consumer spending rose by an impressive 3.5% in 2025 after a 3% gain in 2024. We're relatively optimistic for 2026 as we expect growth of 2%, although this is 0.2ppts weaker than our pre-war forecast. We had anticipated a soft start to 2026, given the boost to H2 2025 from government support measures and likely payback moving into 2026. Although we expect growth to remain modest in Q2, given the impact of the conflict, we anticipate a gradual acceleration through H2 as a tight labour market, solid wage growth, and elevated savings support the outlook.

But the conflict is weighing on consumer spending. The most direct impact is via higher inflation and the associated hit to purchasing power. But consumer confidence is also sensitive to energy prices, as illustrated by recent weakness. This, combined with higher inflation, dampens households' appetite to spend. Higher interest rates would also prompt more savings, although, for now, we assume a modest response from the ECB.

Chart 3: The consumer spending outlook remains supported, despite higher inflation

Portugal: Private consumption drivers

% y/y growth & ppts contribution



Sources: Oxford Economics, Haver Analytics

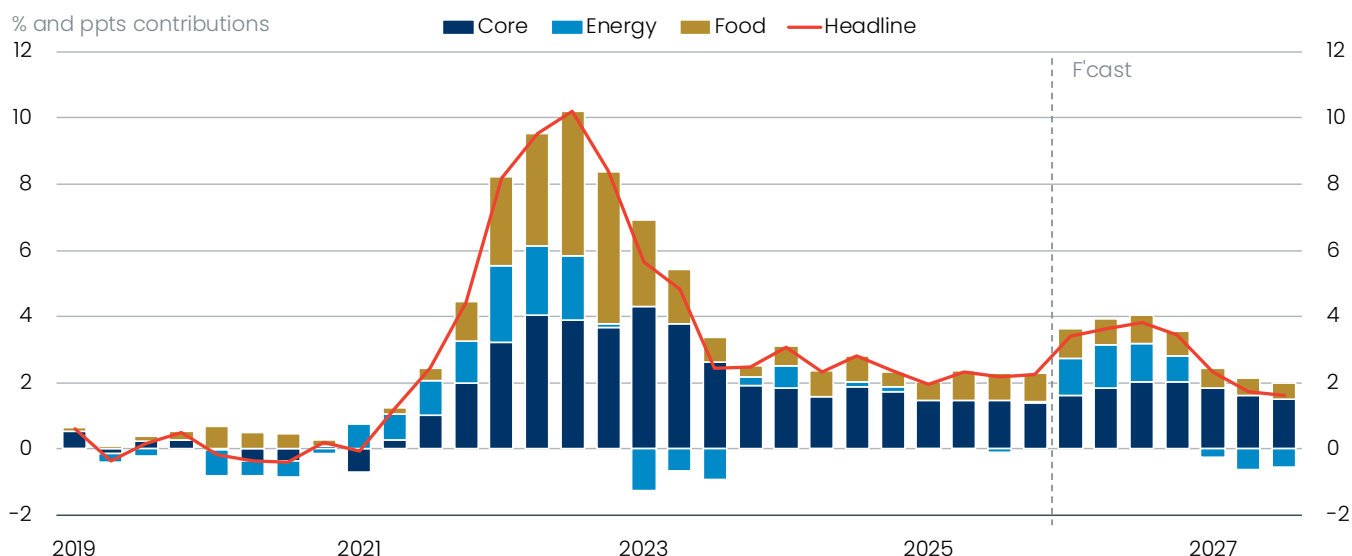
Inflation set to surge again, but by less than initially feared. Inflation slightly undershot expectations in May, staying unchanged at 3.3%. Despite a slight pullback in energy prices, a soft base effect from May last year meant annual growth rose to 13.2%, remaining the key driver beyond the recent high inflation readings. This increase was offset by a drop in food price inflation, back to around 3.5% after 4.4% in April. We expect annual growth in food prices to remain solid but ease gradually to around 3% in H2 from 3.5% in H1.

The upward revision to our H2 projection for oil prices has prompted a further upgrade to our near-term inflation outlook. We now forecast headline inflation will average 3.3% in 2026 and peak at 3.6% in Q3. We've also raised our 2027 inflation forecast by 0.2ppts to 2.3%.

The inflation outlook remains cloudy and linked to developments in the Middle East. The duration of the disruption to shipping traffic in the Strait of Hormuz and how quickly energy production will recover remain the critical uncertainties. Moreover, we estimate that if the US or Iran's stance leads to a more prolonged closure of the Strait, oil stocks could reach a critical threshold by mid-September, triggering a price spike towards \$150 per barrel. Beyond these uncertainties, possible changes to fuel taxes, refinery margins, and the specificities of the Iberian electricity market, including the high share of renewables, mean the range of potential inflation outcomes is wide.

Chart 4: Inflation is set to surge again, but a repeat of 2022 is unlikely

Portugal: Headline HICP inflation breakdown



Sources: Oxford Economic, Haver Analytics

Solid labour market will provide a cushion. The labour market performed strongly in 2025, with employment growing 3.2% and the unemployment rate falling below 6%. Growth softened in Q1 2026, but the unemployment rate was steady at a 24-year low of 5.7%.

Our baseline forecast anticipates softer employment growth than in recent years, and recent data tentatively validate our view. Importantly, we think the labour market is well positioned to withstand this new shock and we think tightness is likely to continue, supporting solid gains in real incomes.

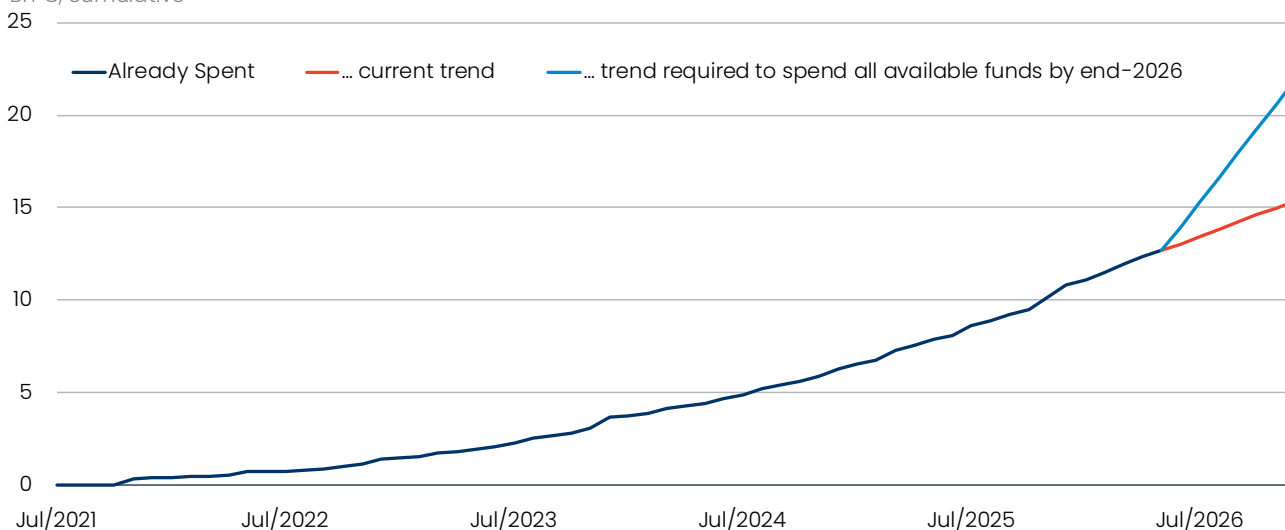
Investment outlook underpinned by EU funds. The spending of RRF funds has picked up recently, but remains well below the pace required to use the whole facility by year-end ([Chart 5](#)). Monthly payments to final beneficiaries averaged over €400mn over the three months to May, meaning they'd need to rise to over €1.3bn per month for the whole facility to be used this year.

The approved projects are worth around €10bn, excluding payments already made. This strong pipeline underpins our expectation that the scheme will boost investment growth. Moreover, we think there'll be some leeway to finalise investments linked to the RRF beyond this year. Prospects for investment not linked to the EU's RRF remain constrained, given the high level of global uncertainty.

Chart 5: RRF's execution has picked up, but it remains below what's required to spend all funds by year-end

Portugal: Execution of EU's Recovery and Resilience Facility

Bn €, cumulative



Sources: Oxford Economics, Recuperar Portugal

Tourism's contribution is weakening. Although Portugal may benefit from some redirection of tourism towards Southern Europe and away from the Middle East, this is unlikely to generate a resurgence from the ongoing slowdown. Overnight stays by non-residents are up by around 1% in 2026 to May, similar to last year's performance, after rising by 5% in 2024 and 15% in 2023. Prospects for non-tourism exports worsened after the start of the conflict amid weaker global growth. So, we think net exports won't significantly boost growth in the coming years, leaving domestic demand driving growth.

What to watch out for

Extensive availability of EU funds. EU funds will boost Portugal's growth in the coming years. The total RRF package amounts to around €22bn, including loans, with around €10bn still to be spent. Other EU funds provide an additional €23bn, with the vast majority yet to be paid to final beneficiaries. By utilising these funds efficiently, Portugal could significantly lift its long-term growth potential.

Political instability. Portugal has had three legislative elections over the past four years. The latest resulted in another fragmented parliament and a renewed minority government. The poor showing from the Socialist Party may incentivise collaboration with the government from the centre-right, as a new election could reinforce the socialists' downfall. Still, political risks remain high. Encouragingly, the economy has been resilient during the recent years of political instability.

Twin surpluses. Portugal's macro-fiscal position is unprecedented in the country's recent history. Since 2023, the country has recorded solid surpluses in its current account and public finances, while keeping unemployment low. Although we expect fiscal deficits from 2026, the economy's structural position continues to look healthy.

This demonstrates the progress made over the past decade in reducing long-standing, macro-financial vulnerabilities. Although GDP growth has outperformed the Eurozone average in recent years, this follows two decades of stagnation. Consequently, the economy has lots of ground to make up, with demographic, productivity, and institutional fragilities casting doubt on whether Portugal can close the gap, despite the recent improvement in some of these areas.

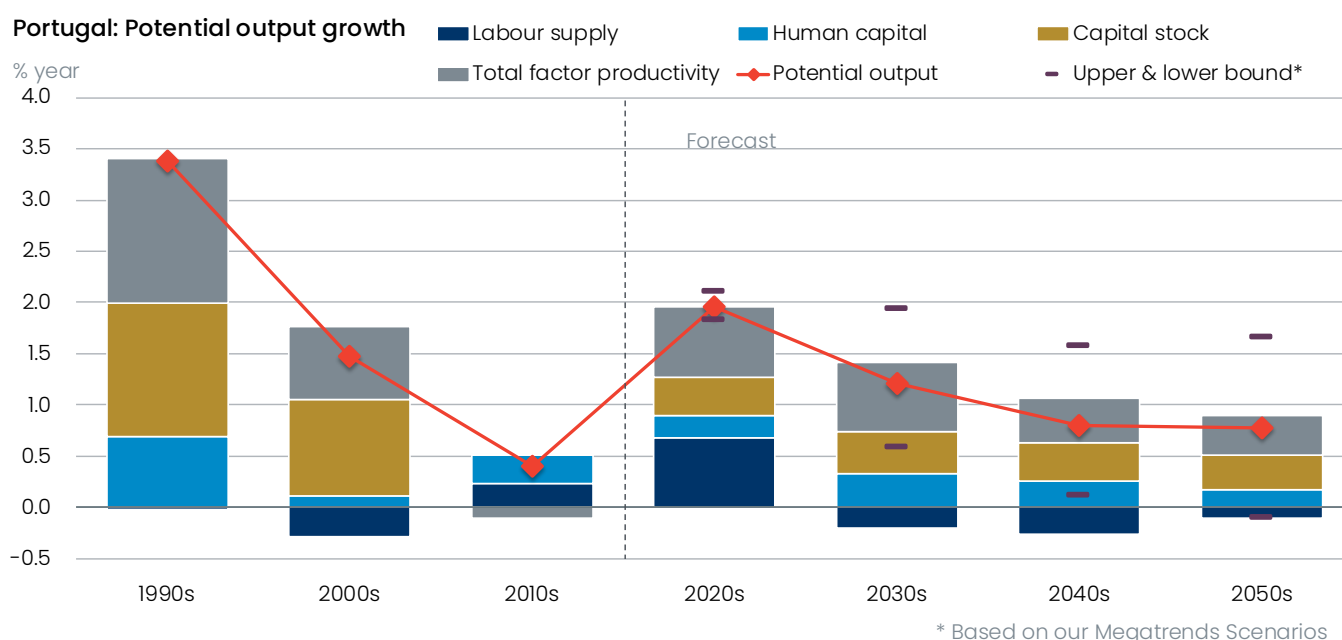
Strong net migration. Portugal has been going through a wave of strong net migration in recent years. The latest figures show a net migration flow of around 150,000 in 2024, more than compensating for a 33,000 decline in the natural population (as the number of deaths exceeds the number of births). Moreover, official statistics likely underestimate actual net migration flows, given delays in registration and illegal immigration. The national statistics office is currently reviewing its data, underscoring this point.

Our forecast assumes net migration remains positive in the coming years but moderates from the recent exceptional levels. Recent changes to immigration laws and tax benefits to immigrants reinforce our view. But risks tilt to stronger-than-expected flows, which would support economic growth but contribute to tensions within society from surging house prices and pressures impacting key services, such as health and education.

Long-term prospects

We recently upgraded our long-term forecasts for Portugal, which we now see growing broadly in line with the Eurozone average over the coming decades. Still, Portugal's long-term outlook remains subdued ([Chart 6](#)).

Chart 6: Long-term outlook remains modest, despite recent upgrades



Sources: Oxford Economics, Haver Analytics

Improved population prospects explain the bulk of the recent upgrade. Portugal is going through a wave of strong net migration, which we think will continue, despite some gradual moderation. But an ageing population and low fertility mean the working-age population will start shrinking soon. An increase in the participation rate will partially offset the impact on the labour force. Still, we think Portugal's labour supply will shift to a downward trend from 2027.

Portugal has also made progress on easing its qualifications gap, and the flight of well-educated workers has cooled in recent years, which led to a severe 'brain drain' during the 2010s. However, it'll take decades until the skills gap disappears completely as low-educated workers slowly drop out of the workforce. Moreover, although Portugal has become much more open to international trade over the past decade, there's still a high proportion of low-value-added jobs. Together with a large share of micro and small enterprises, this means Portugal will continue to suffer from low productivity. The country also stands out for its low share of investment in GDP, signalling capital growth will remain slow.

Scenarios

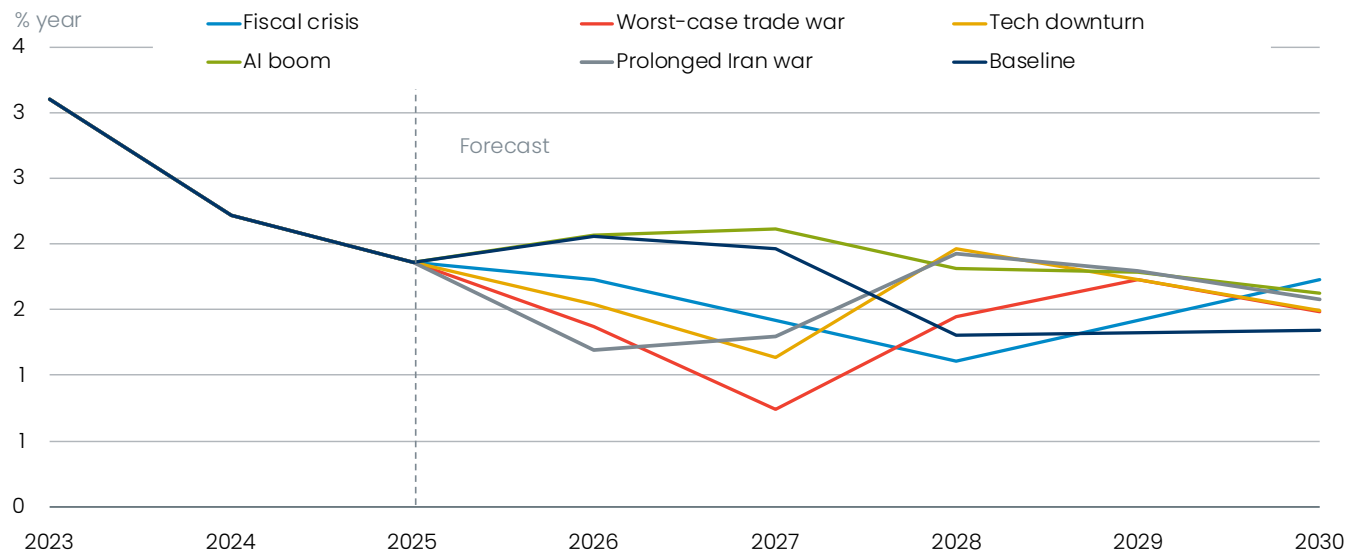
Exposure to key global risks

Worst-case trade war. In this scenario, US trade deals prove fragile. The US removes key tariff exemptions and raises import tariffs beyond trade-agreement levels. The US effective tariff rate rises to 33%, far above the 13% level in the baseline. China is particularly hard-hit, and affected economies hit back with corresponding tariffs on US exports.

The US economy contracts throughout 2026, and global growth slows to 0.6%. The Portuguese economy is also affected, with average growth 0.6ppts lower per year than our baseline forecast for the next three years ([Chart 7](#)).

Chart 7: A more severe trade war and a tech downturn are key near-term risks

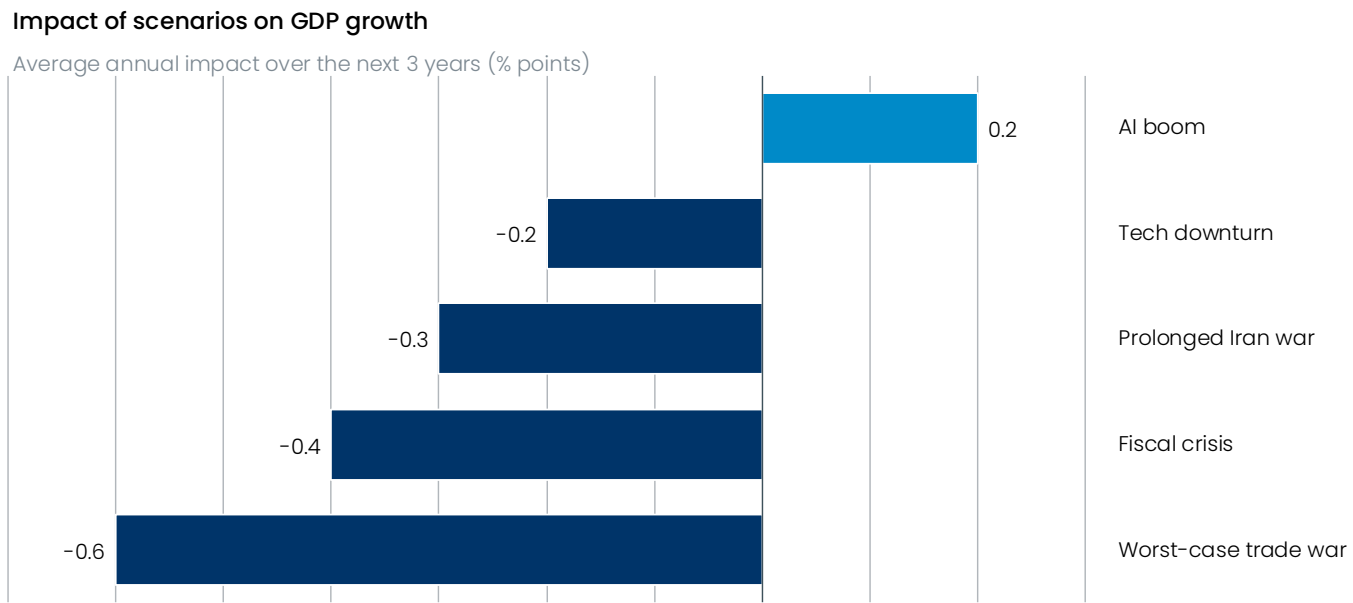
Impact of scenarios on GDP growth



Source: Oxford Economics

Tech downturn. The AI boom turns into a bust in this scenario, with global growth slowing sharply amid falls in stock prices and investment. US growth grinds to a halt during 2026. This spills over into global growth, which slows to 1.8% in 2026, 1ppt below our baseline. The Portuguese economy faces a similar hit ([Chart 8](#)).

Chart 8: Risks are skewed to the downside



Source: Oxford Economics

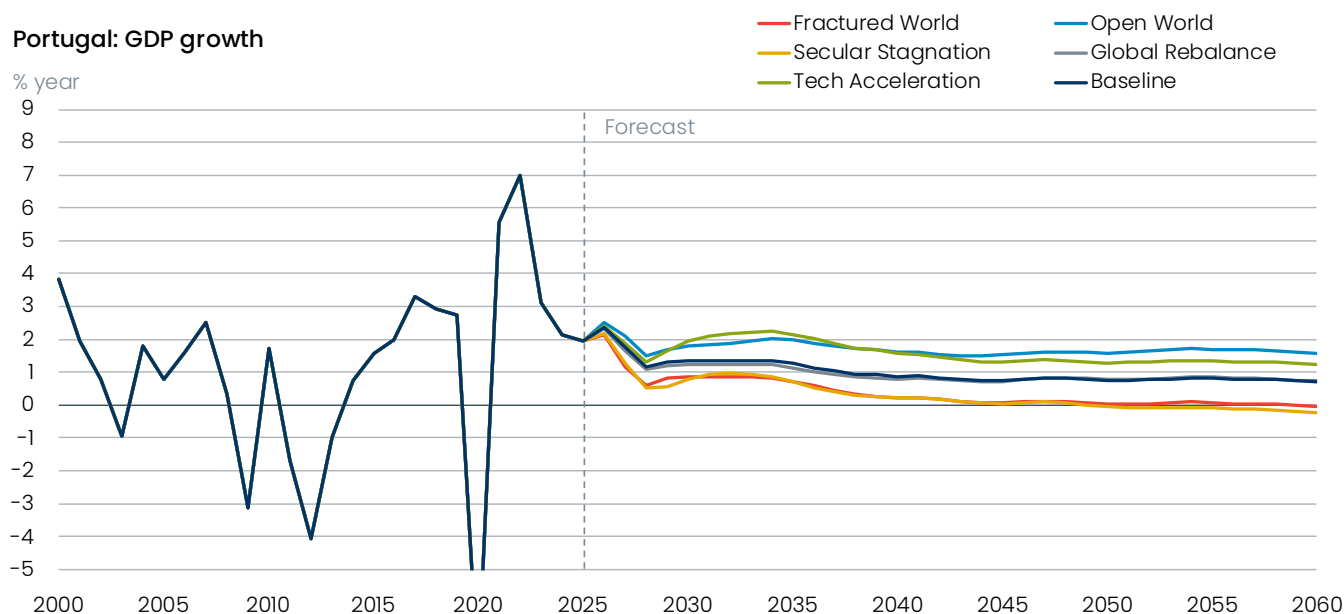
Alternative long-run scenarios

Our Megatrends Scenarios explore alternative long-run scenarios to capture the uncertainty around technological advances, demographics, globalisation, and geopolitics. These include:

Technological revolution. In this scenario, the successful deployment of new technologies, including AI, spurs innovation and boosts productivity growth. Advanced economies at the technological frontier benefit the most, as new technologies are developed and implemented there first.

In the short run, investment rises and structural unemployment is contained as policymakers use fiscal dividends to support workers displaced by AI. This causes Portugal's GDP to increase 0.9ppts a year more than in our 2030-2060 baseline forecast.

Chart 9: Globalisation and technological progress are the main scenario drivers



Sources: Oxford Economics, Haver Analytics

Fractured world. Under this scenario, trade barriers from rising protectionism become more widespread than in our baseline, driving further deglobalisation and a breakdown in international cooperation. High uncertainty and volatility lead to underinvestment in technology and research and development. Weaker institutions and reduced knowledge spillovers compound the effects on potential output, while poor productivity limits real wage growth and labour participation. In this scenario, Portugal's GDP would grow by 0.7ppts a year less than in our 2030-2060 baseline forecast.

Economic risk

Economic risk evaluation

Table 2: Economic Risk Index

	JUN 2026 (SCORES FROM 1 TO 10 WITH 10 = HIGHEST RISK)	SCORE CHANGE FROM DECEMBER	RANK OUT OF 164 (1= BEST)
Overall	3.0	0.2	10
Market demand	3.0	0.0	7
Market cost	3.0	0.0	13
Exchange rate	3.3	1.4	45
Sovereign credit	2.9	-0.1	13
Trade credit	3.0	0.0	5

Source: Oxford Economics

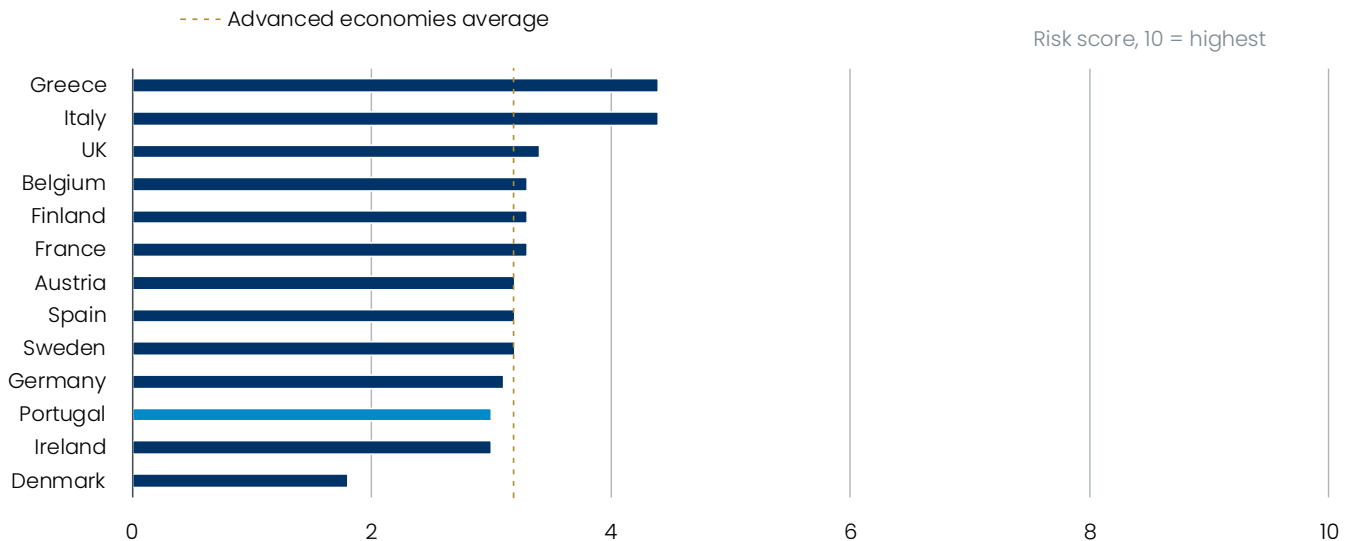
Overall risk for Portugal: 3.0/10*

Portugal's overall economic risk score of 3.0 is moderate, ranking it 10th out of 164 countries in our survey. This is below the advanced economies average of 3.4, with Portugal standing out for its lower market demand and trade risks.

Following two decades of disappointing performance, GDP fell by more than 8% in 2020, making Portugal one of the worst performers among advanced economies. A strong recovery began in Q2 2021, lifting GDP 11.5% higher than its pre-pandemic level. This compares with the 6% average for the Eurozone, excluding Ireland. We expect the gap to widen as we think Portugal's GDP will rise by 2% in 2026 and 2.1% in 2027, compared with our GDP growth forecasts for Eurozone excluding Ireland of 0.9% this year and 1.3% next year. But to converge towards average Eurozone income levels over the long term, Portugal needs to address its economic vulnerabilities ([Chart 10](#)).

Chart 10: Portugal's risk score is below the advanced economies average

Economic Risk: Portugal vs Advanced economies average



Source: Oxford Economics

Market demand: 3.0/10

The market demand risk score is moderate at 3.0, below the advanced economies average of 3.4. Portuguese real disposable incomes rose in 2022 and 2023, bucking the wider Eurozone trend. Growth peaked in 2024 at 7% but the forecast anticipates more moderate growth rates than the over 3% of 2025, particularly following the energy shock and associated spike in inflation.

Underpinning the investment outlook is the availability of funding from EU programmes over the next few years, despite the slow implementation of RRF funds to date. The ECB's policy rate is now at a level thought to be neutral, after being cut by 200bps. We think the central bank will likely need to raise rates modestly as inflation rises more than policymakers expect. But fiscal policy will be slightly loosened, providing some offset. Modest global growth and higher trade tariffs will constrain export growth.

Market cost: 3.0/10

The market cost risk score is modest at 3.0, above the average of 2.7 for advanced economies. Consumer price inflation returned to nearly 2% after last summer's rise to 2.8% in August.

Our baseline forecast sees a resurgence in inflation, which we expect to average 3.3% in 2026. The double-digit growth in energy prices largely explains the overshoot. We've also upgraded our forecasts for core and food inflation, but these revisions have been much more modest.

Exchange rate: 3.3/10

Under our methodology, exchange rate risk stands at 3.3, in line with that of other Eurozone economies.

The euro rose strongly against the US dollar last year, with the psychological barrier of \$1.20 briefly breached in late January. But the US-Israel war with Iran has benefitted the greenback, which is enjoying a return to safe-haven status. The fact that the US is less dependent on energy imports from the Middle East is also likely playing a role. Some unwinding of recent US dollar strength is likely over time as the conflict eases. Over the longer term, we expect fading structural and cyclical headwinds in the Eurozone to support the single currency.

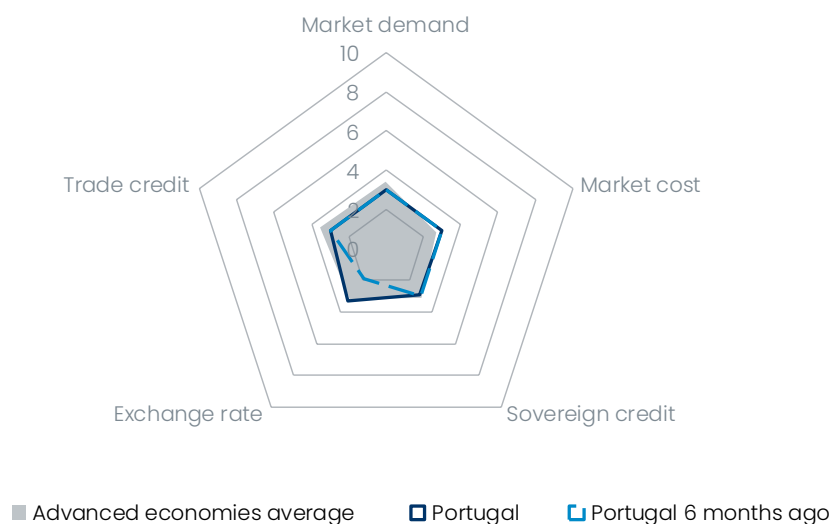
Sovereign credit: 2.9/10

The sovereign credit risk score of 2.9 is below the advanced economies average. Our measure of sovereign credit risk considers economic, political, and institutional factors. Portugal's score is held back by its high level of public debt, which increased during the pandemic but is rapidly falling. This reflects solid growth in nominal GDP and strong fiscal performance, including fiscal surpluses in the past three years. The debt-to-GDP ratio fell to less than 90% at the end of 2025 – an impressive turnaround from nearly 135% in 2020.

We forecast a modest budget deficit for 2026, but still consistent with a decline in the debt-to-GDP ratio, which is set to drop below the Eurozone's this year. Rating agencies have recognised this progress, raising Portugal's rating over the past few years, including recent upgrades from S&P and Fitch. So have financial markets, with Portugal's spread over the bund falling below 40bps for the first time since the global financial crisis in February, and remaining around those levels three months into the conflict.

Chart 11: Portugal scores comparatively well on trade credit and market demand

Economic risk: Portugal vs Advanced economies average



Source: Oxford Economics

Trade credit: 3.0/10

Trade credit risk – a measure of private-sector repayment risk – is modest at 3.0, compared with the advanced economies average of 3.6. The ECB policy rate remains 250bps above the HI 2022 level and a modest re-tightening looks likely over the coming months. Portugal has a high share of variable-rate loans, meaning interest rate increases and cuts feed through quickly. So, lending interest rates have received a reprieve in recent months, but the opposite should now happen. A possible deterioration in non-performing loans is still a risk that would stall

the progress seen in recent years, but the latest data remain encouraging and risks in this area have decreased with recent rate cuts. The profitability of Portuguese banks has risen in recent years and is likely to stay elevated. House prices continue to increase, with growth momentum accelerating in recent quarters. Solid demand and protracted weak supply suggest robust growth is likely to continue, despite tight affordability.

* Risk scores are from 1 to 10, with 10 representing the highest risk. For our full country risk service, see [Economic and Political Risk Dashboard](#). Sovereign credit risk comes from our sovereign risk tool and foreign exchange risk comes from our FX tool. [Find out more](#).